

CONSOLIDATED INCOME STATEMENT		North America	Europe-Africa	Asia-Pacific	Latin America	Company Total
Segment — Internet		28,064	25,350	17,888	19,013	90,315
Revenues — Wholesale (see Note 1)		95,856	90,100	61,200	67,575	314,731
	Private-Label	6,400	7,400	6,400	7,400	27,600
Gross Revenues from Footwear Sales		130,320	122,850	85,488	93,988	432,646
± Exchange Rate Adjustments		0	0	0	0	0
Net Revenues from Footwear Sales		130,320	122,850	85,488	93,988	432,646
Operating — Cost of Pairs Sold (see Note 1)		64,283	68,944	38,063	56,763	228,053
Costs — Warehouse Expenses		12,604	11,050	8,838	8,838	41,330
	Marketing Expenses	24,144	22,050	17,625	17,125	80,944
	Administrative Expenses	4,796	4,082	3,062	3,062	15,002
Operating Profit (Loss)		24,493	16,724	17,900	8,200	67,317
Profitability and Payout		Year9	Year10	Interest Income (Expense)		-10,174
Earnings Per Share		\$2.00	\$2.00	Other Income or (Expense) (see Note 2)		0
Dividends Per Share		\$1.00	\$1.00	Pre-Tax Profit (Loss)		57,143
				Income Taxes (see Note 3)		17,143
				Net Profit (Loss)		40,000

Note 1: These items also include revenues collected from and costs associated with inventory clearance at the beginning of the year. For more details on inventory clearance, see the last section of the Distribution and Warehouse report.

Note 2: This item includes charitable contributions and/or instructor-awarded refunds and/or instructor-imposed fines (appearing as negative).

Note 3: The income tax rate is 30%. If a net loss was recorded in the prior year, the loss is carried forward and may offset some or all taxable income in the current year and reduce current-year income taxes.

BRANDED MARKET PERFORMANCE

INTERNET MARKET PERFORMANCE		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair
Gross Revenues from Internet Sales		23,651	67.00	21,600	72.00	15,075	67.00	16,200	72.00	76,526	69.38
± Exchange Rate Adjustments		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Gross Internet Revenues		23,651	67.00	21,600	72.00	15,075	67.00	16,200	72.00	76,526	69.38
Customer-Paid Shipping Fees		4,413	12.50	3,750	12.50	2,813	12.50	2,813	12.50	13,789	12.50
Net Internet Revenues		28,064	79.50	25,350	84.50	17,888	79.50	19,013	84.50	90,315	81.88
Operating — Cost of Pairs Sold		8,817	24.98	9,294	30.98	4,985	22.16	7,460	33.16	30,556	27.70
Costs — Warehouse Expenses		4,563	12.93	3,900	13.00	2,963	13.17	2,963	13.17	14,389	13.05
	Marketing Expenses	7,652	21.68	7,000	23.33	6,350	28.22	6,275	27.89	27,277	24.73
	Administrative Expenses	720	2.04	612	2.04	459	2.04	459	2.04	2,250	2.04
Operating Profit (Loss)		6,312	17.88	4,544	15.15	3,131	13.92	1,856	8.25	15,843	14.36
Segment — Pairs Sold (000s)		Year9	Year10	Year9	Year10	Year9	Year10	Year9	Year10	Year 9	Year10
Statistics — Market Share		353	353	300	300	225	225	225	225	1,103	1,103
	Operating Profit Margin	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%
		25.4%	22.5%	18.0%	17.9%	22.8%	17.5%	17.6%	9.8%	21.2%	17.5%

WHOLESALE MARKET PERFORMANCE		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair
Gross Wholesale Revenues		95,856	48.00	90,100	53.00	61,200	48.00	67,575	53.00	314,731	50.38
± Exchange Rate Adjustments		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Net Wholesale Revenues		95,856	48.00	90,100	53.00	61,200	48.00	67,575	53.00	314,731	50.38
Operating — Cost of Pairs Sold		49,880	24.98	52,664	30.98	28,250	22.16	42,275	33.16	173,069	27.70
Costs — Warehouse Expenses		7,841	3.93	6,950	4.09	5,675	4.45	5,675	4.45	26,141	4.18
	Marketing Expenses	16,492	8.26	15,050	8.85	11,275	8.84	10,850	8.51	53,667	8.59
	Administrative Expenses	4,076	2.04	3,470	2.04	2,603	2.04	2,603	2.04	12,752	2.04

WHOLESALE MARKET PERFORMANCE		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair
Operating Profit (Loss)		17,567	8.80	11,966	7.04	13,397	10.51	6,172	4.84	49,102	7.86
		Year9	Year10	Year9	Year10	Year9	Year10	Year9	Year10	Year9	Year10
Segment Statistics	Pairs Sold (000s)	1,997	1,997	1,700	1,700	1,275	1,275	1,275	1,275	6,247	6,247
	Market Share	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%
	Operating Profit Margin	13.0%	18.3%	4.4%	13.3%	13.7%	21.9%	7.5%	9.1%	9.5%	15.6%